EABL FY F10
Investor Group Briefing

Seni Adetu – Group MD & CEO
Peter Ndegwa – Group FD

26th August 2010

The Afternoon

- ❑ **Welcome & introduction – Group MD**
- ❑ **Business Update - - Group MD**
- ❑ **Financial Update - - Group FD**
- ❑ **Q & A**

Business Update

Group MD

Mr. Seni Adetu

Our vision …

EABL is the most celebrated business in every market in Eastern Africa

Our Intent…

- ❑ Employer of choice
- ❑ Delivering superior shareholder returns
- ❑ Force for good in each of our markets

Macro-economic and operating environments in the past year

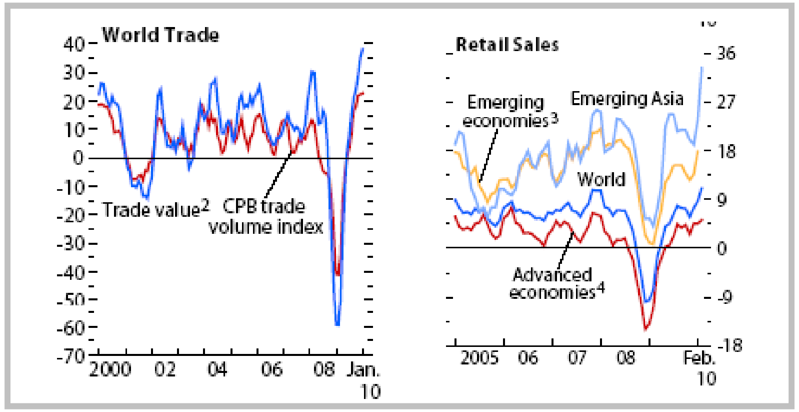
A Tale of Two Halves ...

1st Half Year

> Global recession-- Collapse in export and commodity markets
> Excise tax increase on Spirits
> Water and energy pressures across the region
> Ban on sachets in Uganda
> High COGS and FX losses eroding margins
>Knock on effects of drought especially in Kenya

2nd Half Year

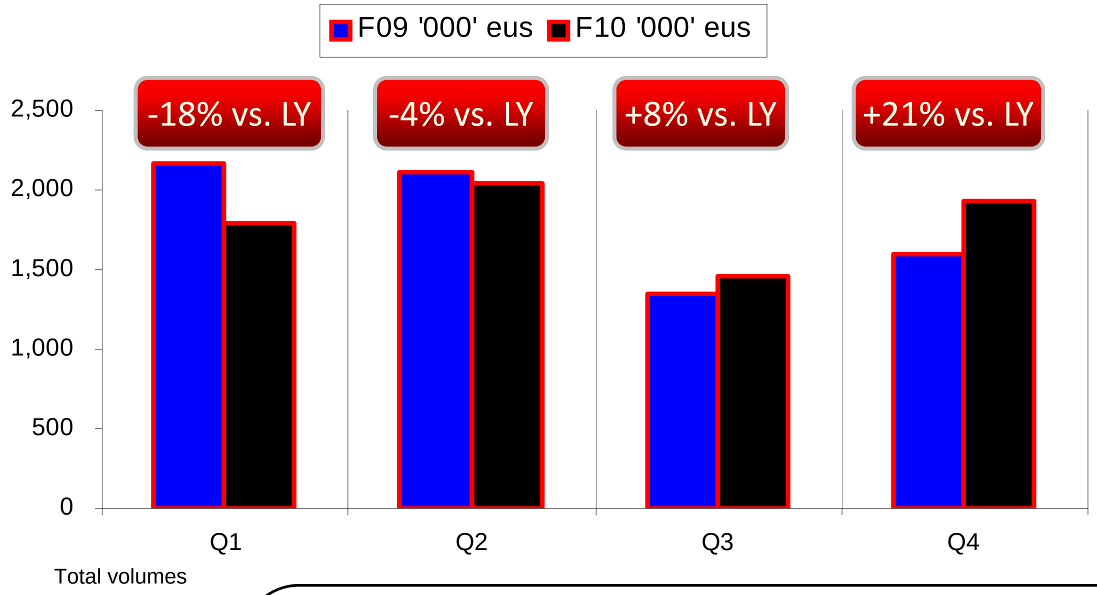
> Economic recovery
> Spirits tax reversal
> Improved rainfall
> Regional Integration
> Infrastructural development
> High demand and investment



Source: IMF, World economic outlook, IMF & Africa development database

Globe activity has rebounded, as evidenced by accelerating world trade, industrial production and retail sales

After a slow start, performance improved significantly in H2



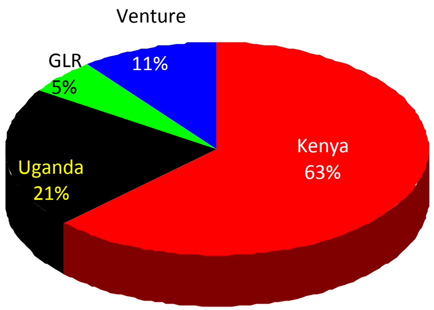
Recovery driven by

- Senator keg and spirits upturn
- Strong (double-digit) performance by mainstream (Tusker/Guinness)
- Kenya's improved RTM and cold drink penetration
- Innovation/renovation on TML, wines etc.

Witnessed strong performance on our core brands

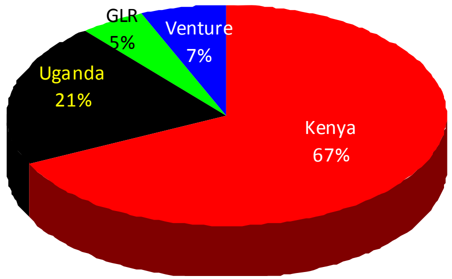
Resulting in positive growth across key financial metrics

Volume flat vs. LY

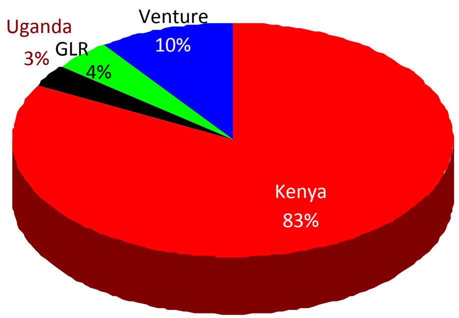


NSV growth resulted from tactical pricing in KE & UG as well as a strong mix contributed by Guinness & Tusker performance

NSV +10% vs. LY

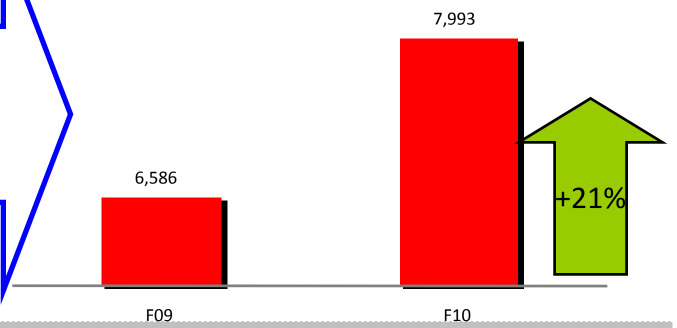


PBT +9% vs. LY



TP and Cash driven by good NSV leverage

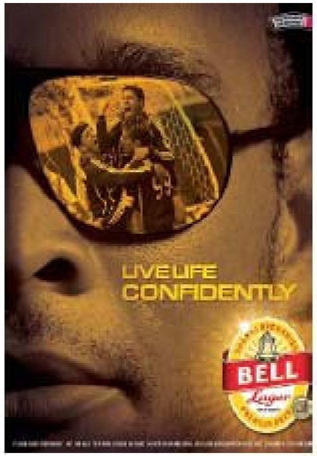
Cash +21% vs. LY



Key initiatives that spurred growth

- Improved supply performance
- Brand building & and innovation
- Market development in New Markets and on Sen. Keg
- Focus on distributor partnership and route-to-market
- Resourcing - - commercial teams in place across GLR markets

F10 saw well executed activations



With a robust Supply optimization agenda

> COGS focus (hedging on cereals)

> Increased local barley contribution

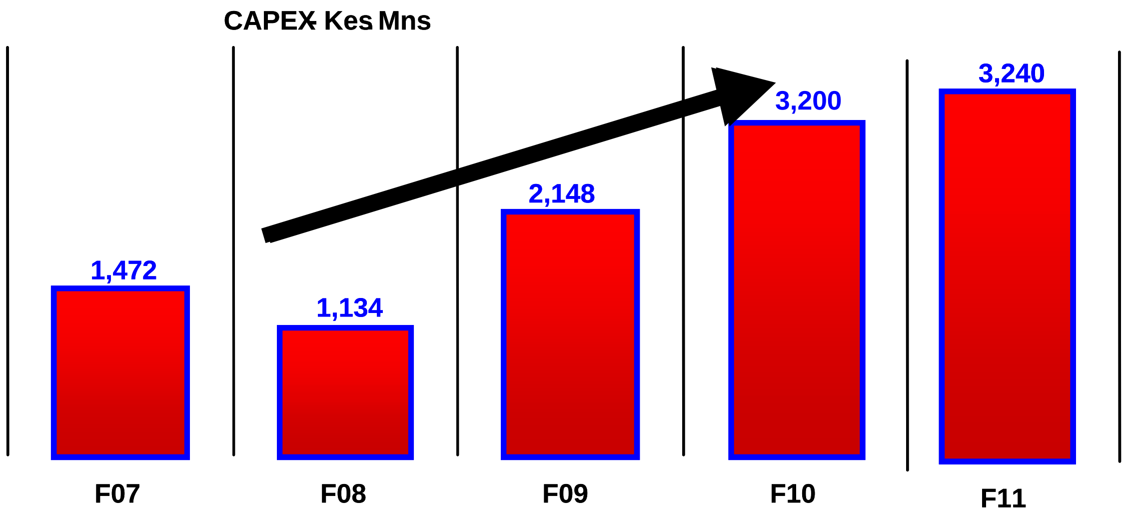
> New packaging line in Kenya – increasing OEE' s*

> Consolidated production capacity

> Sorghum breakthrough in Kenya

*Overall equipment effectiveness

And growing investments in Capex

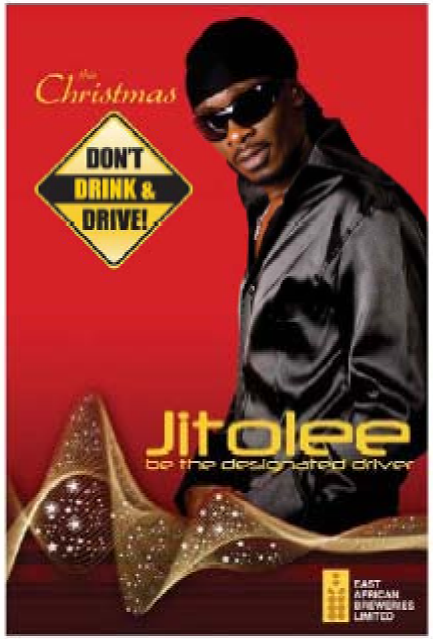


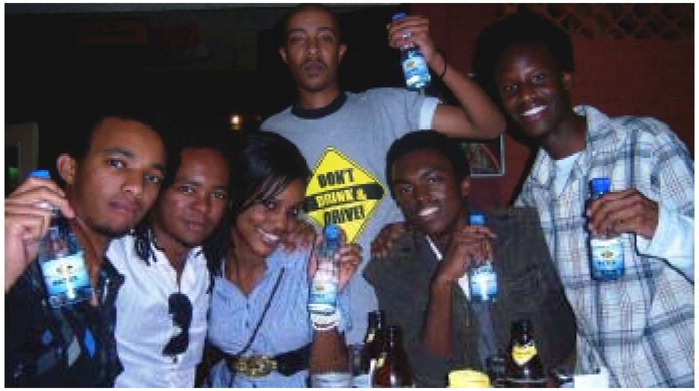
With increased focus on public policy and CSR activities

- Enhanced relationship on EAC integration
- Partnering with Government to fight illicits and promoting Senator Keg
- Conservation of environment and providing water and scholarships for needy students

Leading the responsible drinking agenda

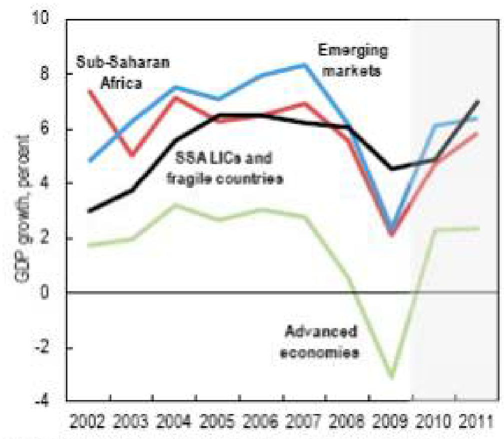
- ❑ RD ambassador - - appointment of mega award winning musician
- ❑ "Space-it-out" campaign - - new initiative providing consumers with water as a spacer





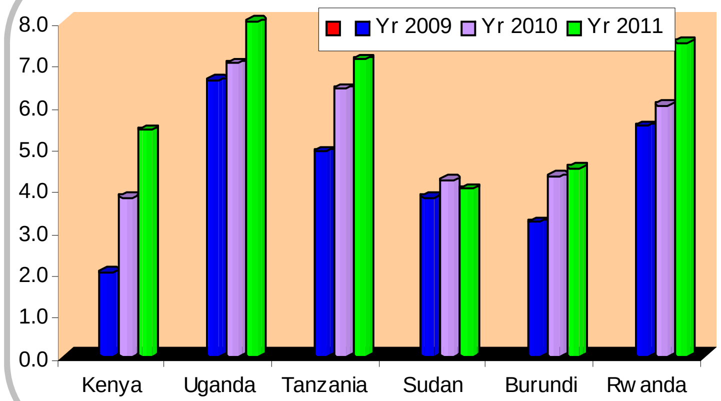
Looking ahead

Future more optimistic -- Upturn in activity in emerging economies & Sub Saharan Africa



Sources: IMF, *World Economic Outlook*; and IMF, African Department database.

Closer Home--Sub Saharan



Source:EIU– GDP Growth figures—09-11

- Investor confidence
- FDI' s increase
- Heightened Integration efforts
- More rains

However, unlocking this value requires…

Overcoming Challenges & Leveraging Opportunities

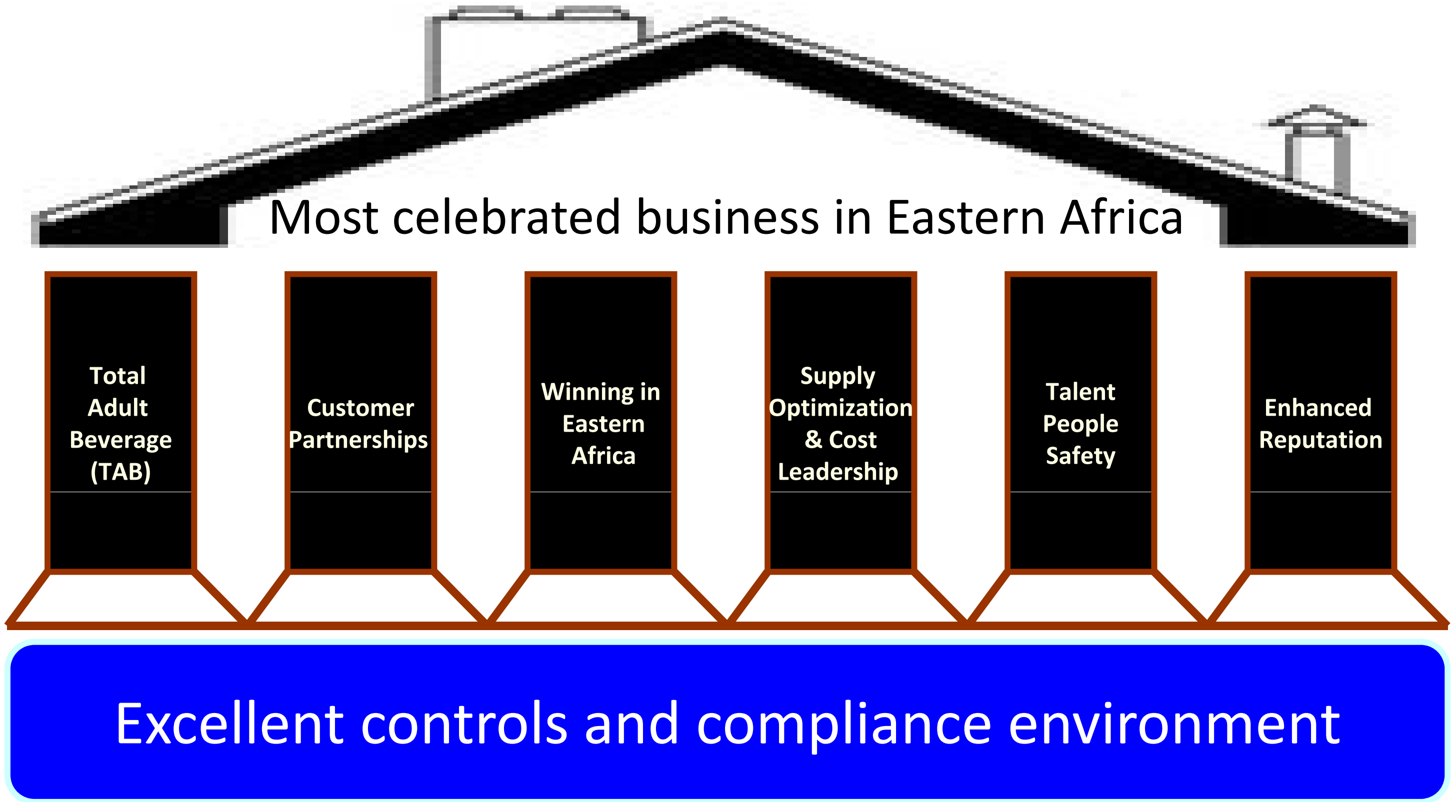
Overcoming Challenges

- Regulatory concerns
- Fiscal pressures
- Growing competition
- Increasing political/security concerns
- Cost inflationary pressures
- Business set up complexities

Leveraging Opportunities

- Growing economies
- Increasing population, growing middle class & affluence
- Increased integration (EAC)
- Technology advancement
- Strong brands & good reputation
- Spirits opportunity

Our F’11 Mission is built on Six Strategic Pillars



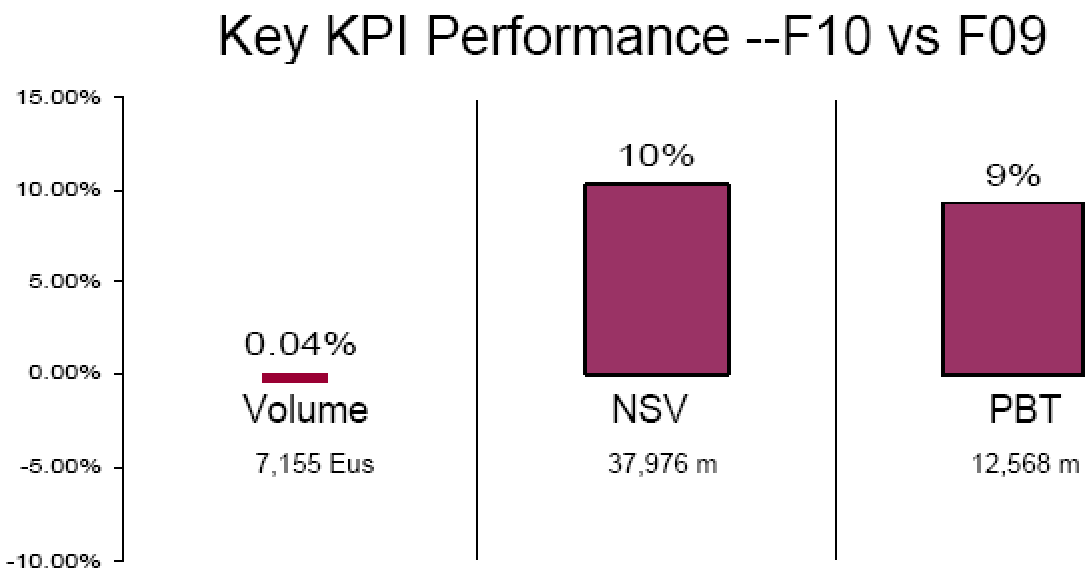
In summary…

- ❑ Strong financial performance in F10 with NSV, PBT and cash growth:
  - ❑ All businesses recorded profits (Kenya +30% PBT growth vs. LY)
  - ❑ Flagship brands in double-digit growth coupled with improved brand equity
- ❑ Performance was driven by:
  - ❑ Increased investment in A&P (+22% vs. LY) and CAPEX (+24% vs. LY)
  - ❑ Continued focus on brand building and market development initiatives
- ❑ We are witnessing improving people capability and employee engagement
- ❑ Our public policy and CSR initiatives are on track
- ❑ The future looks promising though not without its challenges

Financial Update

Group FD – Peter Ndegwa

Performance Re--bound ..



Rebound driven by

> Improved mix – volume and price

> Strong (double-digit) performance by our mainstream-- (Tusker/Guinness) Volumes-- Senator keg and spirits upturn

>Improved economic fundamentals —-reduced inflationary pressure, increased investment, FDI flows

>Tax reprieve on spirits in H2 -- supported volume off take

On the back of great beer performance in Kenya

+11% vs. LY

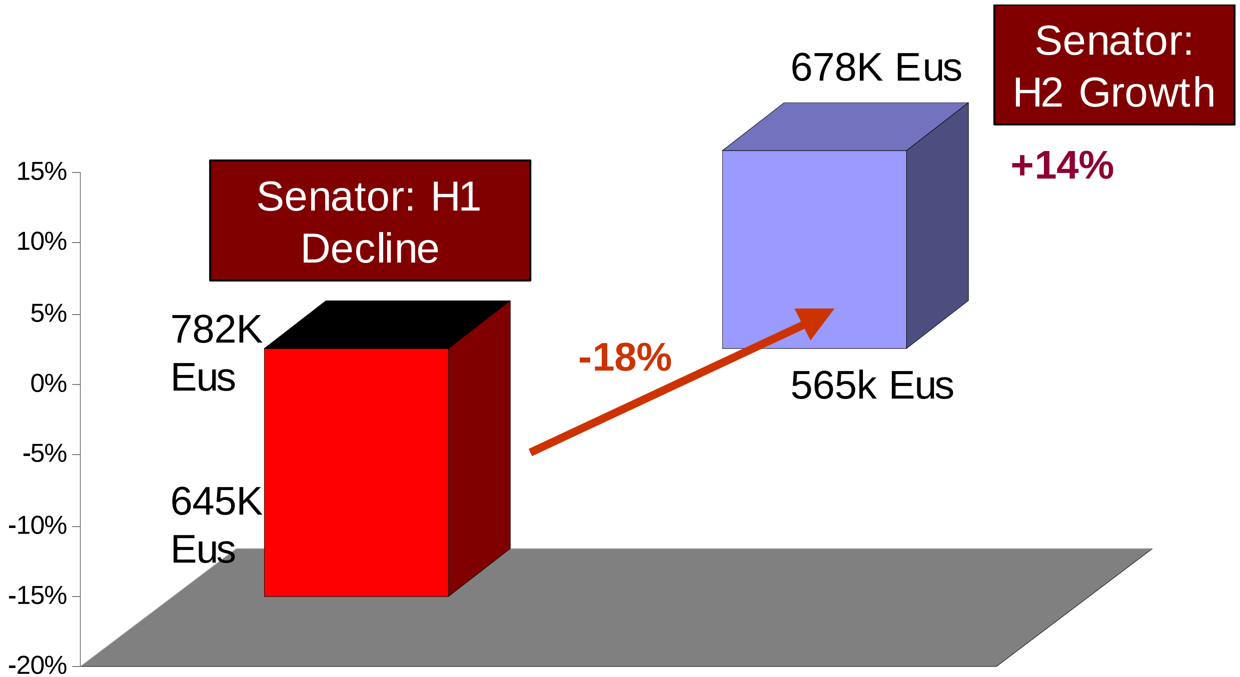
+14% vs. LY

+18% vs. LY

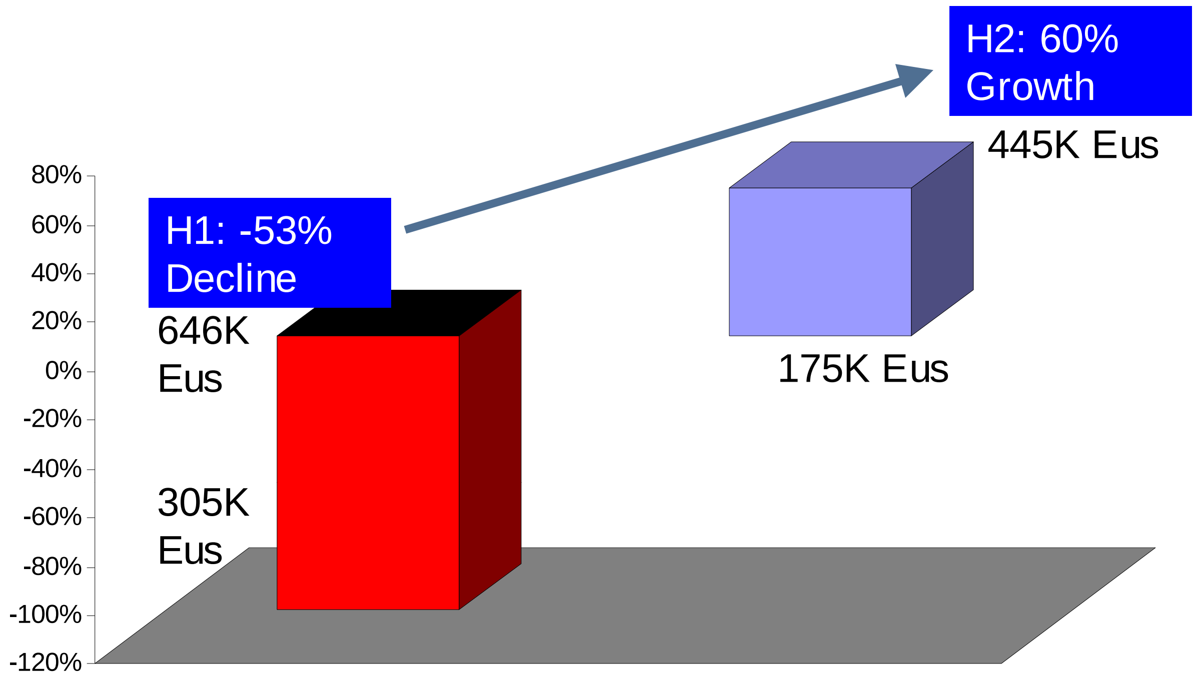
F10: 1,249 Vs F09 1,126	F10: 503 Vs F09 441	F10: 173 Vs F09 146

Volume in '000 Eus

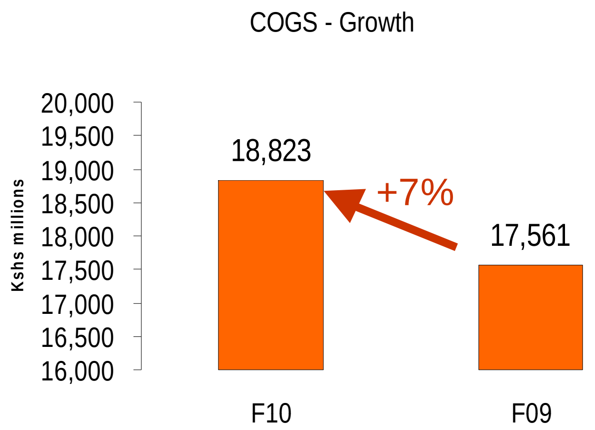
With Senator back to growth

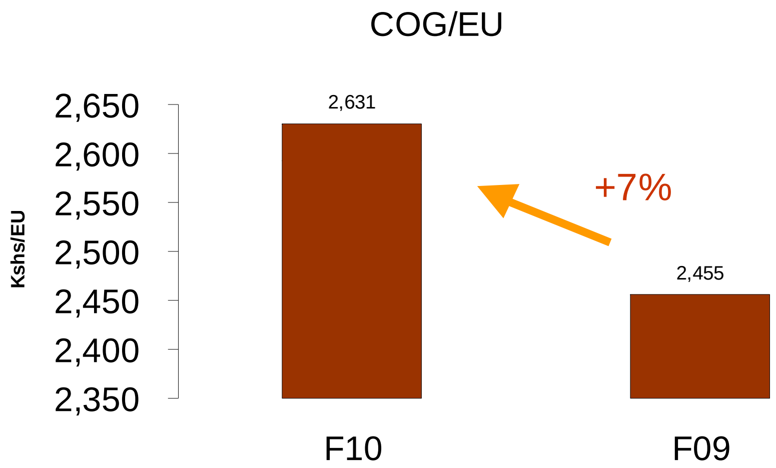


And a recovering Spirits portfolio



We managed costs despite a challenging environment..





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- ❑ Good control of costs in Kenya
- ❑ Hedging inputs costs

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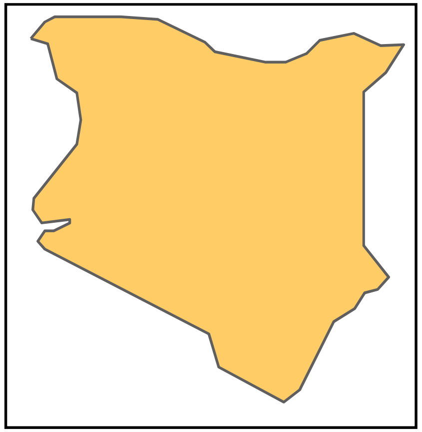
- ❑ High forex losses in Uganda
- ❑ High utilities costs

A Dive into the Markets

Kenya: Solid performance



Volume flat	+0.01%
Net sales growth	+12%
Cost of Good Sold	+8%
Operating profit	+18%

> Modest beer growth (2%) but better mix

- Tusker up 11%
- Guinness up by 14%

> **Spirits** down by 9% - Recovery in H2 after a tough H1

> PBT: Overall impressive

- **> KBL +30%**
- **> UDV +6%**
- **> Overall at 18% above LY**

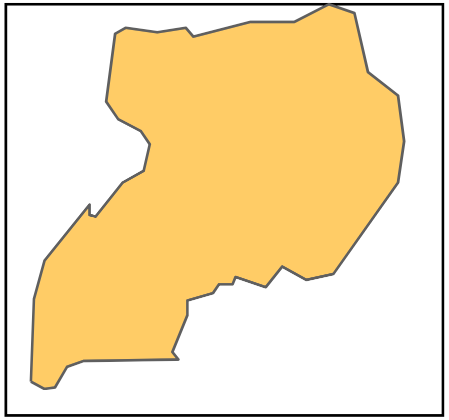
Uganda

A challenging year for Uganda

> Intense competition

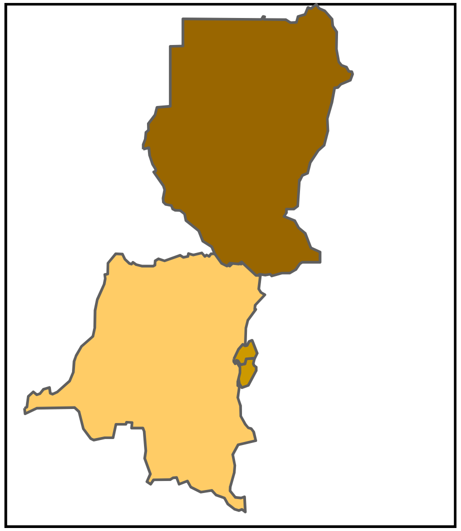
> High input costs

> A depreciating currency



Volume flat	-1%
Net sales growth	+9%
Cost of Good Sold	+11%
Operating profit	-51%

At the GLR front..despite some challenges we have established a presence



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- In market commercial presence
  - > Revamped product distribution – new RTM
  - > Resourced to win
  - > Increased visibility & promotional activities

Volume decline **-14%**

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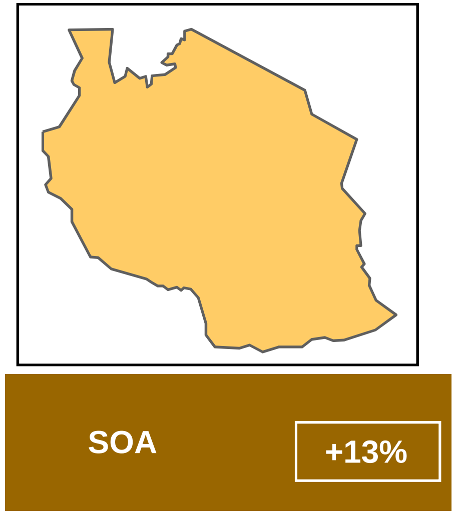
- Increased regulatory challenges
  - > Higher taxes
  - > Ban sachet Spirits
  - > Closure of border

Whilst in Tanzania….

> Strong Share Of Associates (up by 13%)

> EABL brands distributed through SBL



Our summary results…

	F10 Ksh Bn	F09 Ksh Bn	% Growth	
NSV	38.0	34.4	10%	▲
PBT	12.6	11.5	9%	▲
Cash	8.0	6.6	21%	▲
Net Assets	26.7	25.1	7%	▲

Detailed results…

East African Breweries Limited Financial Report for the year ended 30 June 2010 Consolidated Profit and Loss Account	Year ended 30-Jun-10 Kshs M	Year ended 30-Jun-09 Kshs M	Change %
Net Revenue	**37,965**	**34,408**	**10%**
Cost of Sales	(18,823)	(17,561)	7%
Gross profit	**19,142**	**16,846**	**14%**
Other operating expense	(474)	(497)	-5%
Selling and distribution costs	(2,571)	(2,115)	22%
Administrative expenses	(4,842)	(3,838)	26%
Profit from operations	**11,256**	**10,396**	**8%**
Reorganisation costs		(558)	
Net finance income	168	654	-74%
Income from associate	1,144	1,016	13%
Profit before taxation	**12,568**	**11,507**	**9%**
Income tax expense	(3,731)	(3,244)	15%
Profit after taxation	**8,838**	**8,262**	**7%**
Minority interest	(1,659)	(1,378)	20%
Net profit	**7,179**	**6,884**	**4%**
Basic earnings per share	9.08	8.71	4%

And the proposed dividends…

> Final dividend proposal of Kes **6.25**/share

> Interim dividend paid of Kes **2.50**/share

>Taking full year dividend to Kes **8.75/**share, 9% above LY

> Final dividend payment of Kes **5Bn**

> Full year dividend payment of Kes **6.9Bn**

Q&A Session